📘 MGT503 – Lesson 24

Management by Objectives (MBO)

🔹 Lecture Summary (Short & VU-Focused)

Management by Objectives (MBO) is a systematic and collaborative goal-setting process in which managers and employees jointly set goals, periodically review progress, and reward performance based on goal achievement. The concept was introduced by Peter Drucker.

Time Span of Goals and Plans

Strategic goals/plans: 3–5 years

Tactical goals/plans: 1–3 years

Operational goals/plans: 1 week to 1 year

Characteristics of Well-Designed Goals

Effective goals are:

Outcome-oriented

Measurable and quantifiable

Time-bound

Challenging but attainable

Written and documented

Communicated to all relevant members

Steps in Goal Setting

Review the organizational mission

Align goals with mission

Evaluate available resources

Determine goals (individually or collaboratively)

Write and communicate goals

Review results and progress

Contingency Factors in Planning

Planning depends on:

Manager's level (lower = operational, higher = strategic)

Environmental uncertainty (higher uncertainty → flexible, short-term plans)

Length of future commitments (plans must cover commitments already made)

Traditional Goal Setting

Goals are set top-down and passed to lower levels. While it creates a means-end chain, clarity often decreases as goals move downward, leading to misinterpretation.

Pitfalls of Goal Setting

High stress

Ignoring non-goal areas

Short-term focus

Reduced self-confidence

Dishonesty or cheating

Key Elements of MBO

Goal specificity

Participative decision making

Explicit time period

Performance feedback

MBO Process

Organizational goals → departmental → individual goals

Action plans developed

Responsibility assigned
Performance appraised (usually annually)
Rewards given for achievement
Strengths of MBO
Improves coordination
Clarifies priorities
Enhances communication
Increases motivation
Weaknesses of MBO
Requires strong top management support
Needs extensive training
May be used as punishment
Overemphasis on quantitative goals
Despite its strong philosophy, MBO succeeds only 20–25% of the time, mainly due to weak leadership support and poor communication.
📝 20 MCQs (VU Paper Pattern)
1. Strategic goals usually cover a time span of:
A. 1 year
B. 1–3 years
C. 3–5 years
D. 10 years
✅ C
2. Tactical goals typically involve:
A. Less than 1 year
B. 1–3 years
C. 3–5 years
D. More than 5 years
✅ B
3. Operational goals may range from:
A. 1–3 years
B. 3–5 years
C. 1 week to 1 year
D. 5–10 years
✅ C
4. Well-designed goals should be:
A. Vague
B. Informal
C. Measurable
D. Flexible only
✅ C
5. Goals written in terms of results are called:
A. Activity-based
B. Outcome-based
C. Directional
D. Informal
✅ B
6. Reviewing the mission is part of:
A. Controlling

B. Staffing
C. Goal setting
D. Organizing
✅ C
7. Which factor affects the nature of planning most?
A. Age of employees
B. Environmental uncertainty
C. Salary structure
D. Office size
✅ B
8. When uncertainty is high, plans should be:
A. Rigid
B. Long-term
C. Specific but flexible
D. Ignored
✅ C
9. Traditional goal setting flows:
A. Bottom-up
B. Top-down
C. Horizontally
D. Randomly
✅ B
10. A weakness of traditional goal setting is:
A. Participation
B. Clarity at lower levels
C. Loss of unity
D. Motivation
✅ C
11. The means-end chain links:
A. Strategy to control
B. Goals to rewards
C. Higher-level goals to lower-level goals
D. Mission to vision
✅ C
12. Which is NOT a pitfall of goal setting?
A. Increased stress
B. Dishonesty
C. Improved teamwork
D. Short-term focus
✅ C
13. MBO was introduced by:
A. Fayol
B. Taylor
C. Mayo
D. Drucker
✅ D
14. In MBO, goals are set:
A. By top managers only

B. Individually
C. Jointly by managers and employees
D. By consultants
✅ C
15. Which is NOT an element of MBO?
A. Goal specificity
B. Performance feedback
C. Centralized authority
D. Explicit time period
✅ C
16. MBO objectives cascade:
A. Horizontally
B. Randomly
C. Downward through the organization
D. Outside the organization
✅ C
17. Bottom-up goal setting begins with:
A. Top management
B. Middle management
C. Lower-level managers
D. Board of directors
✅ C
18. Performance appraisal in MBO is usually done:
A. Weekly
B. Monthly
C. Quarterly
D. Annually
✅ D
19. A major strength of MBO is:
A. Reduced communication
B. Improved coordination
C. Rigid control
D. Increased stress
✅ B
20. MBO often fails due to:
A. Employee resistance
B. Market competition
C. Lack of top management support
D. Too many rewards
✅ C